Bachelor's degree or above

Specification	Year FE	+ Client FE	+ Audit firm FE
Audit failure			
Separate regression	-0.0083***	-0.0076**	-0.0069*
	(0.0032)	(0.0034)	(0.0035)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0175	0.2271	0.2335
Outcome mean (separate)	0.0406	0.0406	0.0406
Joint regression	-0.0072**	-0.0068*	-0.0063*
	(0.0034)	(0.0036)	(0.0037)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0179	0.2272	0.2336
Outcome mean (joint)	0.0406	0.0406	0.0406
Bachelor only vs. below bachelor	-0.0084**	-0.0076**	-0.0068*
	(0.0033)	(0.0036)	(0.0036)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0175	0.2271	0.2336
Outcome mean (categories)	0.0406	0.0406	0.0406
Restatement			
Separate regression	-0.0036*	-0.0045*	-0.0048*
	(0.0022)	(0.0025)	(0.0026)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0156	0.2100	0.2171
Outcome mean (separate)	0.0209	0.0209	0.0209
Joint regression	-0.0030	-0.0043	-0.0044
	(0.0023)	(0.0027)	(0.0027)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0160	0.2101	0.2172
Outcome mean (joint)	0.0209	0.0209	0.0209
Bachelor only vs. below bachelor	-0.0037	-0.0050*	-0.0050*
	(0.0023)	(0.0027)	(0.0027)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0156	0.2100	0.2171
Outcome mean (categories)	0.0209	0.0209	0.0209
Violation			
Separate regression	-0.0066**	-0.0047	-0.0039
	(0.0027)	(0.0029)	(0.0029)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0086	0.2167	0.2216
Outcome mean (separate)	0.0246	0.0246	0.0246
Joint regression	-0.0065**	-0.0045	-0.0039
	(0.0028)	(0.0030)	(0.0030)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0089	0.2168	0.2216
Outcome mean (joint)	0.0246	0.0246	0.0246
Bachelor only vs. below bachelor	-0.0071***	-0.0048	-0.0039
	(0.0027)	(0.0030)	(0.0030)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0086	0.2167	0.2216
Outcome mean (categories)	0.0246	0.0246	0.0246

Notes: All specifications use the common sample and client controls plus historical exposure controls. Separate regressions include one background indicator; joint regressions include all six indicators. Education and school thresholds are nested: joint coefficients are incremental contrasts. Category rows use mutually exclusive groups and the reference group stated in the row. Column 3 includes year, client and audit firm fixed effects. Standard errors are clustered by client. Education is measured from the available snapshot; Big Four history excludes the focal client. Outcomes use a three-year disclosure window. *** p<0.01, ** p<0.05, * p<0.1.